Republic Services (NYSE : RSG)

Recommendation : Neutral (1.48 % downside , $ 239 target price)

Recommendation

1. A high - growth market with strong barriers to entry
2. Stable cash flow despite of Economic fluctuations
3. ESG trend with regulations

Neutral

$ 239

Company Overview

RSG is a waste management firm founded in 1981 and listed on the NYSE in 1998

1981
Foundation of Republic Waste Services

1996
Incorporated to Republic Services

1998
Listed on the NYSE

2008
Acquisition of Allied Waste ($6.6B)

2022
Acquisition of US Ecology ($2.1B)

2023
Started of Plastic recycling plant operation

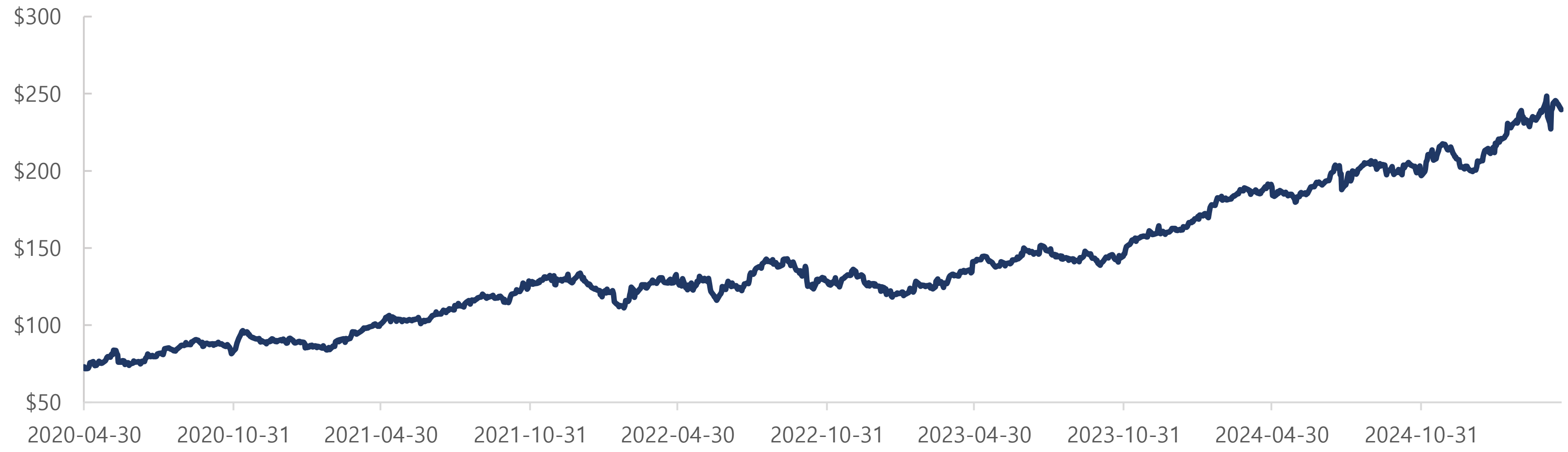
Key Income Statement

($ Million)	2021A	2022A	2023A	2024A
Sales	11,295	13,510	14,965	16,032
Operating Profit	2,076	2,393	2,780	3,196
OPM	17.8%	17.7%	18.7%	20%
Net Income	1,293	1,488	1,731	2,044
NIM	11.6%	11.1%	11.4%	12.5%

Major Stockholder

Holder	Shares	% out
Vanguard Group Inc.	15.59M	5.95%
Blackrock Inc.	17.6M	5.64%
State Street Corporation	9.75M	3.12%
Capital World Investors	7.86M	2.52%
Picet Asset Management Holdings	6.26M	2.01%

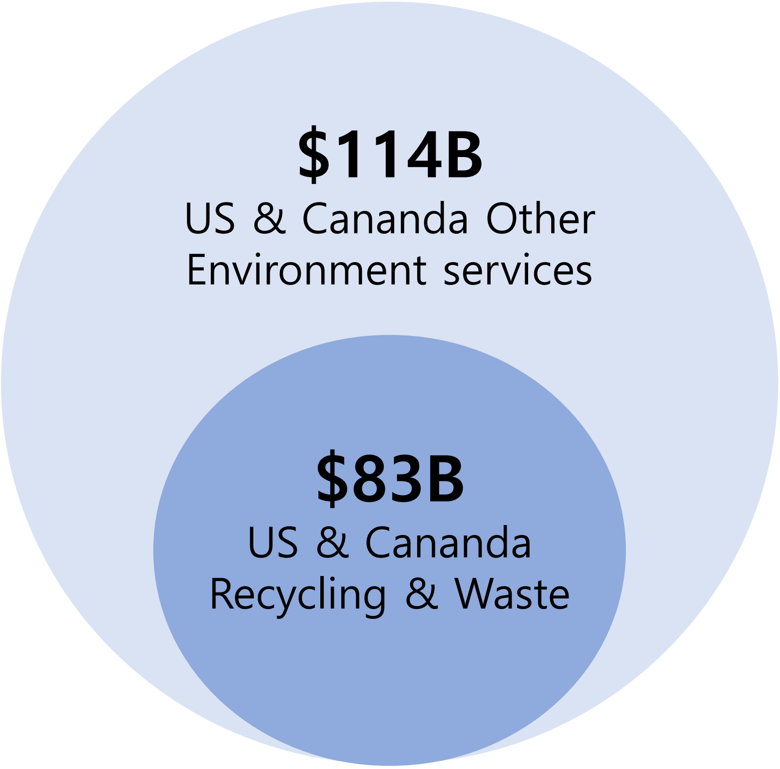
Stock Price Performance(5y)



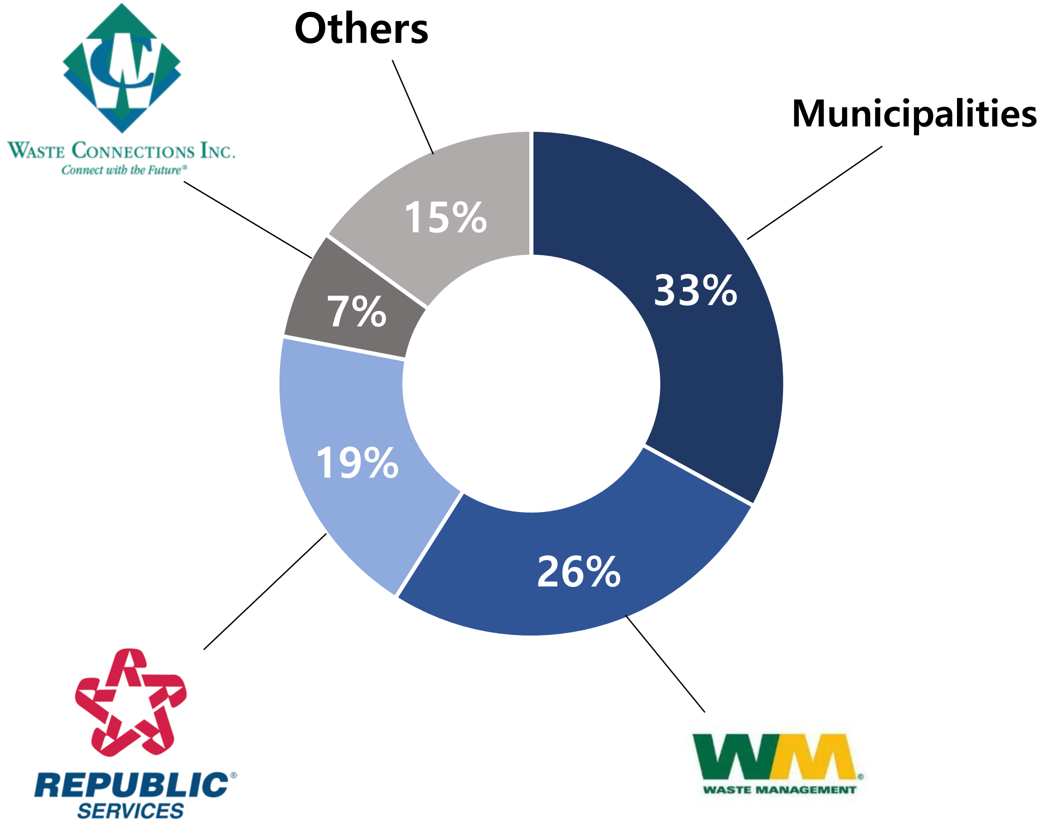
Market Overview

Waste management market is dominated by some companies and municipalities

Market Size of waste management



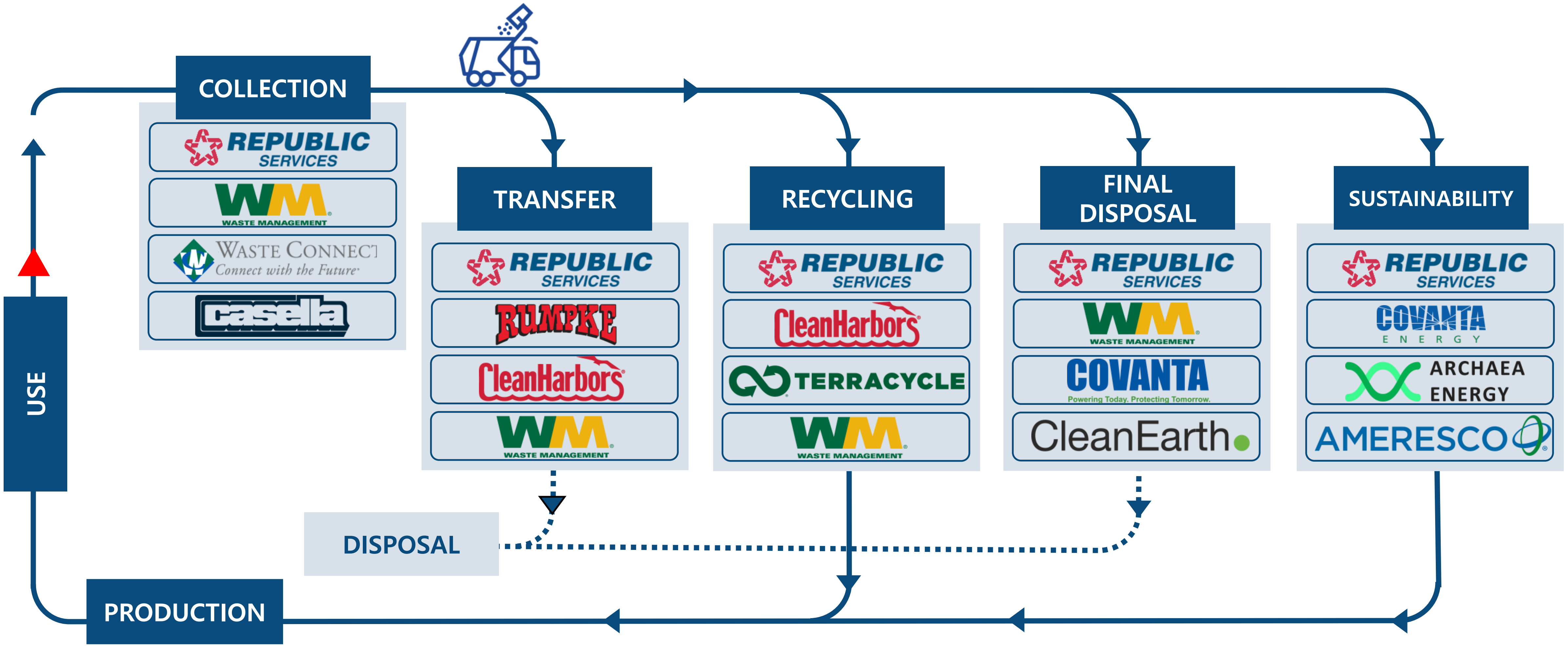
Market Share



Source : Company Filings , Statista

Value Chain

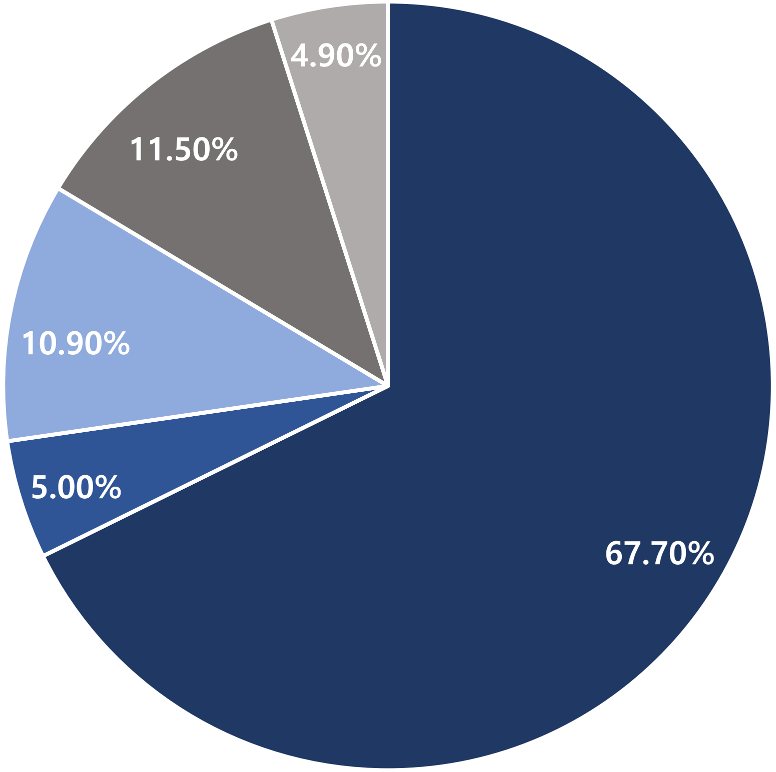
RSG internalize the value chain using vertical integration



Business Overview

RSG holds a strong market position, based on four business segments

FY2024 Sales Proportion by business segment

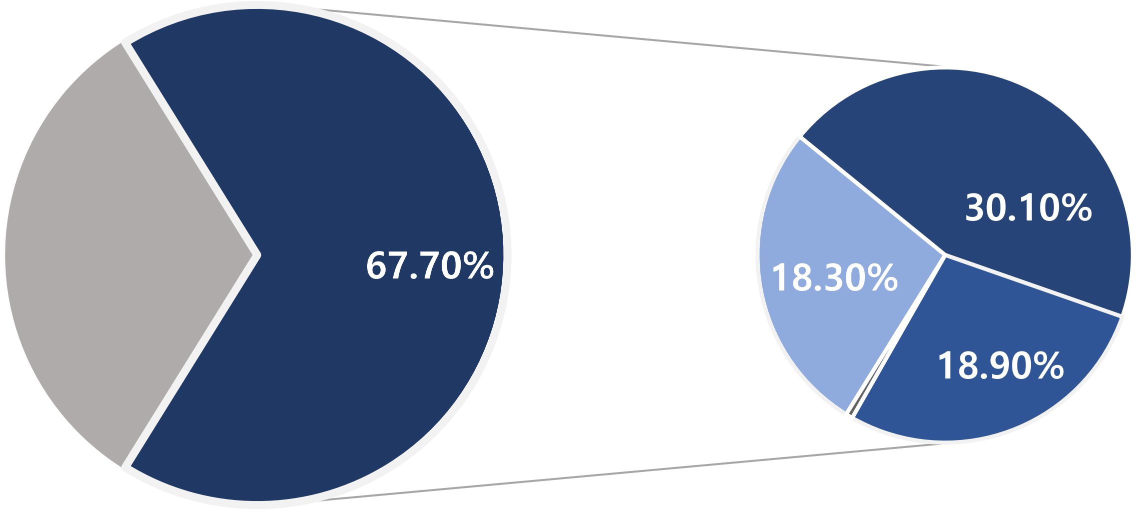


Business Segment	Proportion
Collection	67.7%
Transfer	5%
Landfill	10.9%
Environmental solutions	11.5%
other	4.9%

Business Overview

Collection is key source of cash flow, supported by long – term contracts and subscriptions

FY2024 Sales Proportion by business segment



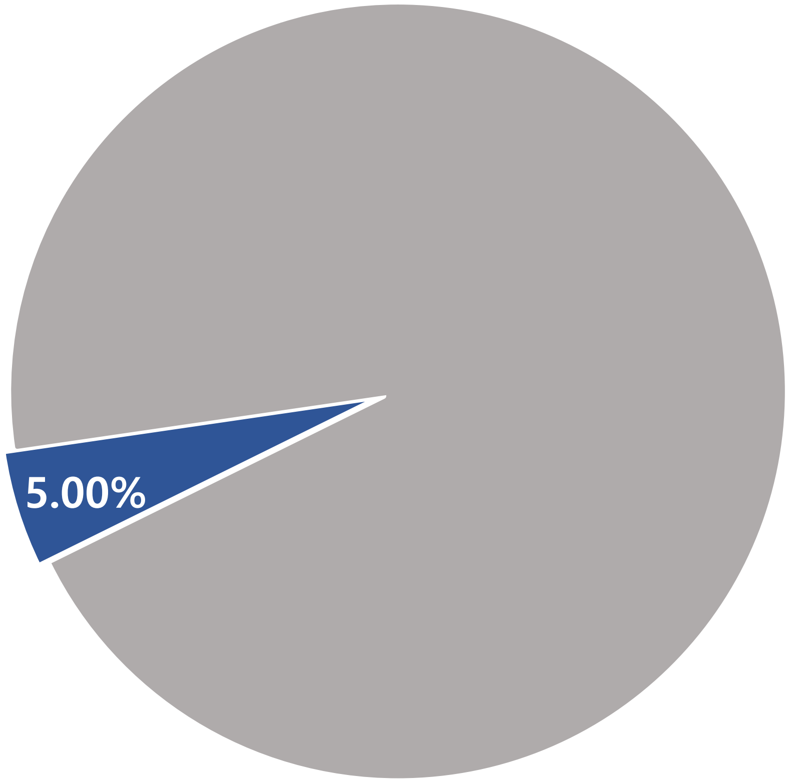
Sub Segment	Proportion
Residential	18.3%
Small – container	30.1%
Large – container	18.9%
Others	0.4%

Collection	
Residential	• Roadside material transport to waste processing facilities • 1~5 years service contracts • Servicing : entire municipalities or specific zones
Small – container	• Various container sizes for recycling & waste • 1~3 years service contracts • Servicing : small business complexed, multi – family housing, strip malls
Large – container	• Various container sizes for recycling & waste • 1~3 years service contracts • Servicing : manufacturing, hotels, office buildings, retail

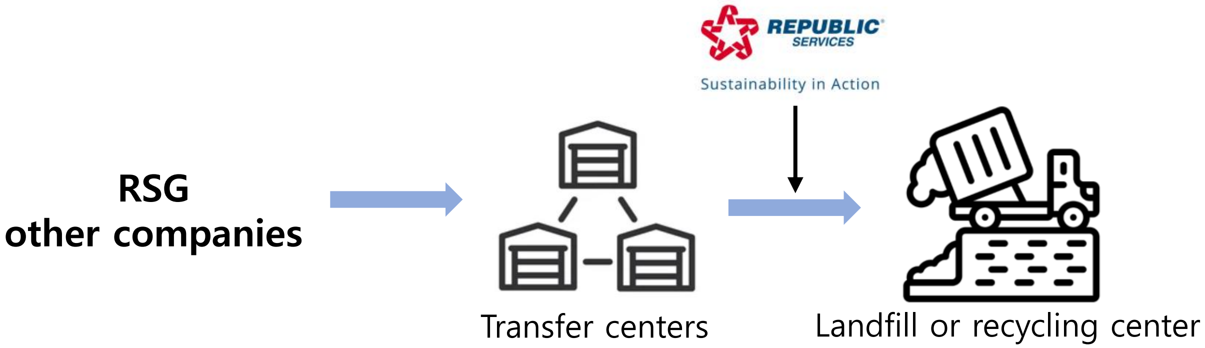
Business Overview

RSG operates 246 transfer centers, generating revenue through tipping fees

FY2024 Sales Proportion by business segment



Transfer



Efficient Process

Collected waste at transfer center and transport it using large vehicles to reduce cost

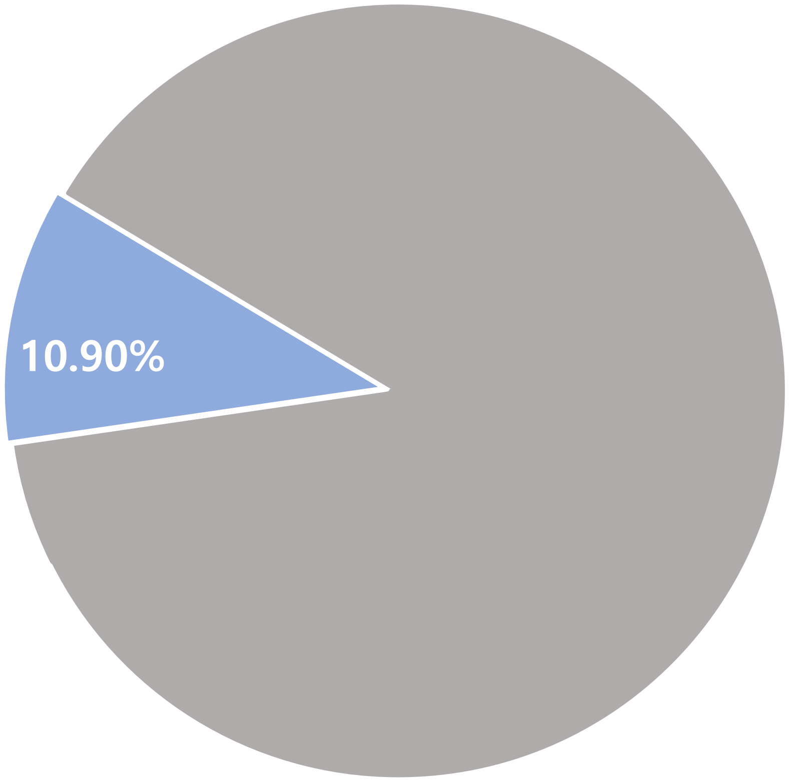
Service Network Expansion

Efficiently manage wastes by region and support a nationwide operational network

Business Overview

RSG operates 208 active landfills with high potential for expansion

FY2024 Sales Proportion by business segment



Landfill

Permitted Landfill

Approximately 40,659 acres(164.5 km²), equivalent to 56.7 times the size of Yeouido

Total Available Capacity

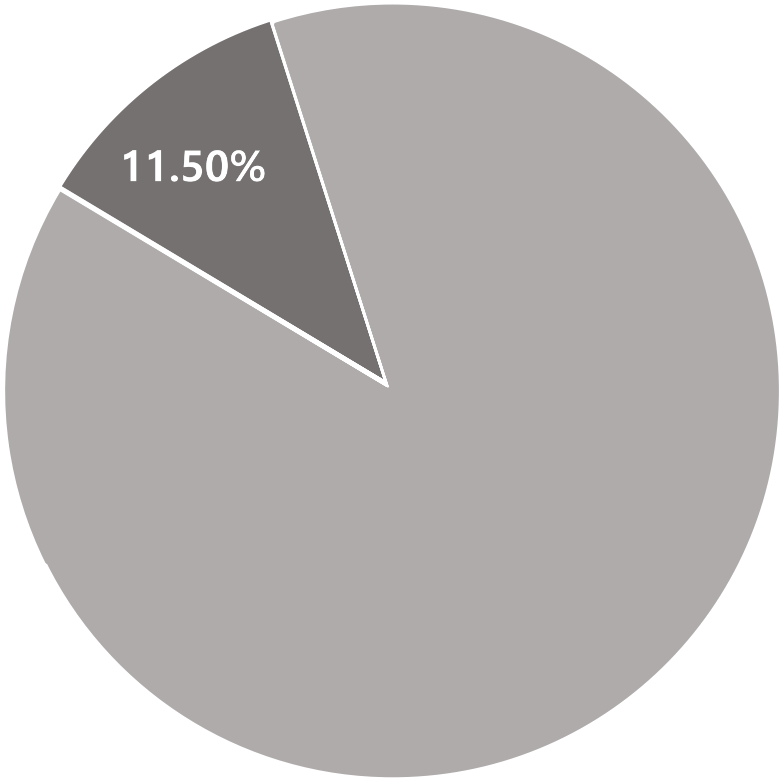
Approximately 5.1 billion cubic yards

✔ **Holding liabilities related to the management of closed landfills**

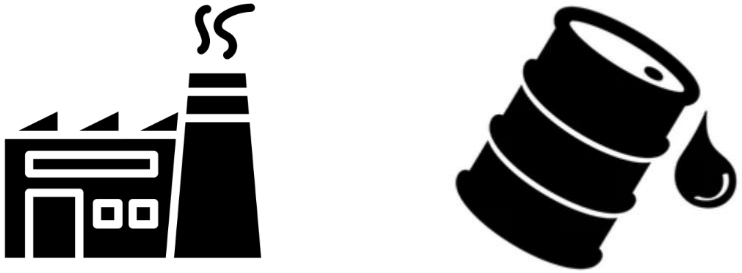
Business Overview

Environmental Solutions offerings include collections, treatment, consolidation, disposal and recycling

FY2024 Sales Proportion by business segment



Environmental Solutions



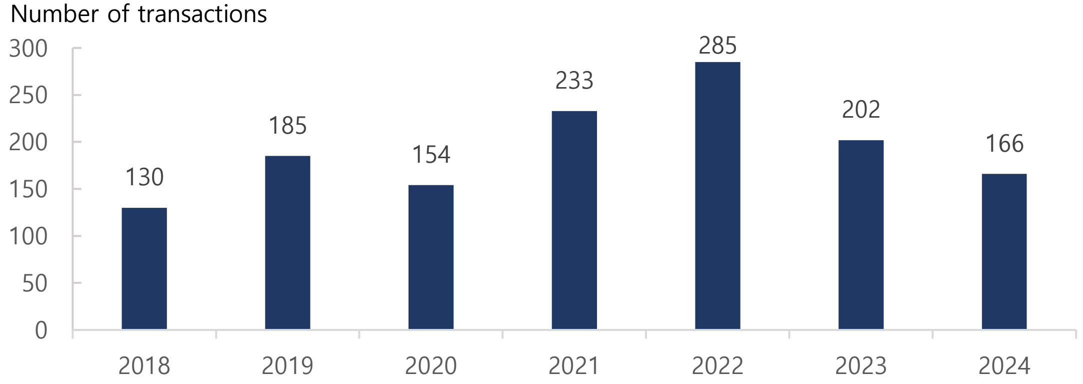
Field Services

Including a wide range of specialty and total management services which include industrial cleaning and maintenance, lab pack, specialty equipment rental, transportation and emergency response

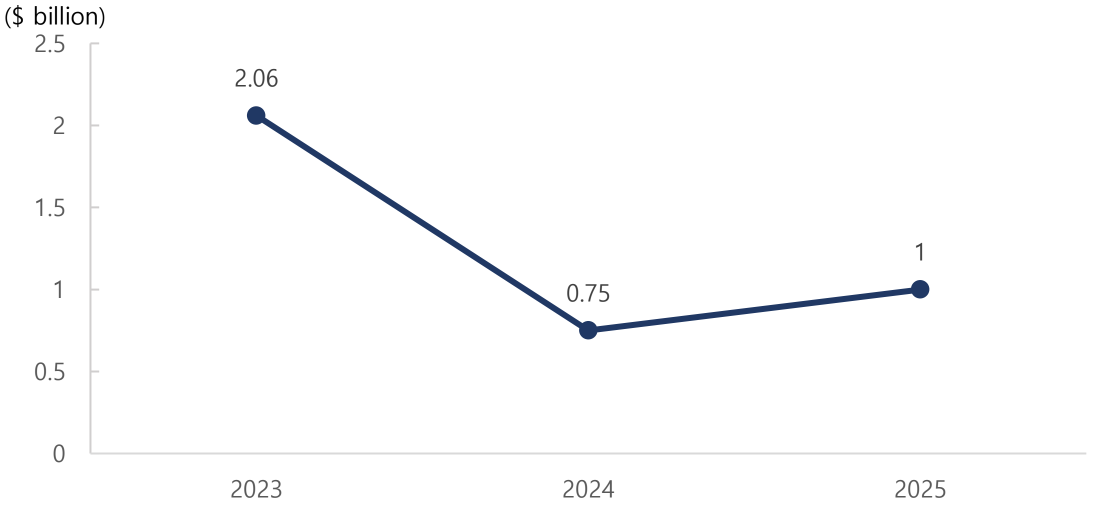
M&A

RSG continues to drive vertical integration though steady M&A activity

Trend in Waste & Recycling M&A Transactions



RSG's M&A Spending Trends Over Time



Source : Capital IQ, FactSet, Capstone Partners, Company fillings

RSG's M&A Strategies and Key Cases

1. **Vertical integration enables RSG to build market leadership**
2. **Focusing on acquiring unlisted companies that complement existing business**
3. **Seeking opportunities where municipalities sell their recycling facilities to reduce risk and raise capital**

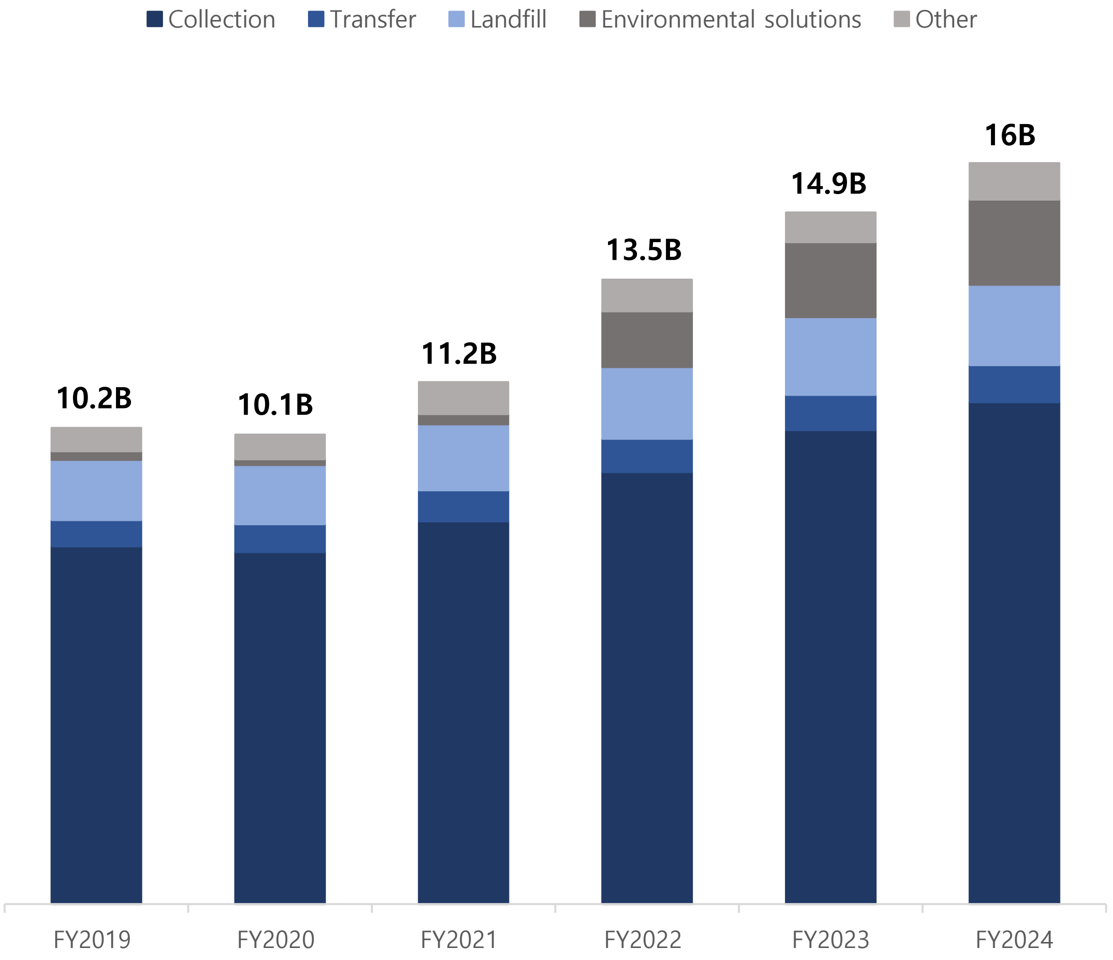
Date	Description
2017.08.24	Acquiring ReCommunity Holdings II, Inc
2022.05.02	Acquiring US Ecology
2023.06.05	Acquiring GFL Environment's Colorado and New Mexico segments
2024.09.03	Acquiring Waste Services of the Bluegrass Assets

Since 2008, RSG has completed more than 32 M&A deals as part of its growth strategy

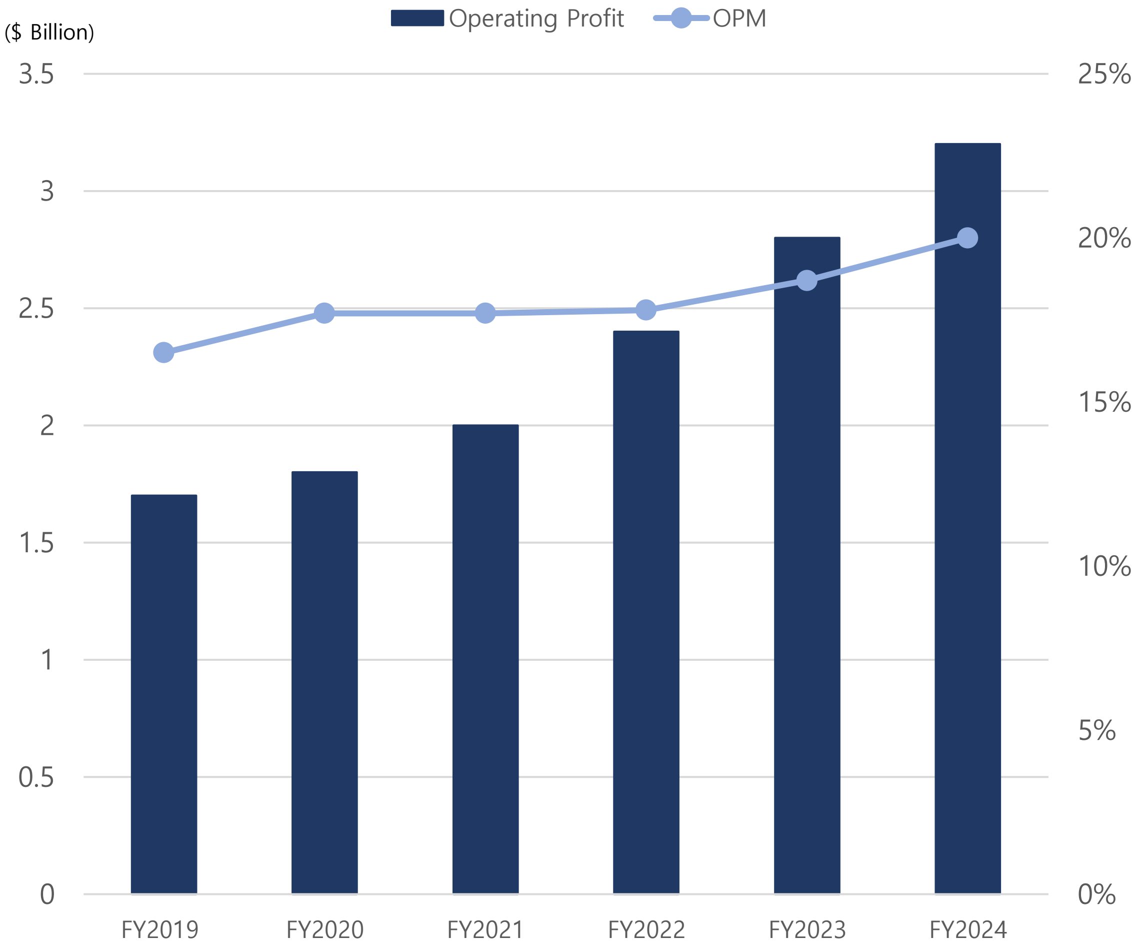
Financial Performance

Post – COVID, RSG has shown steady growth and better margin

Historical Revenue



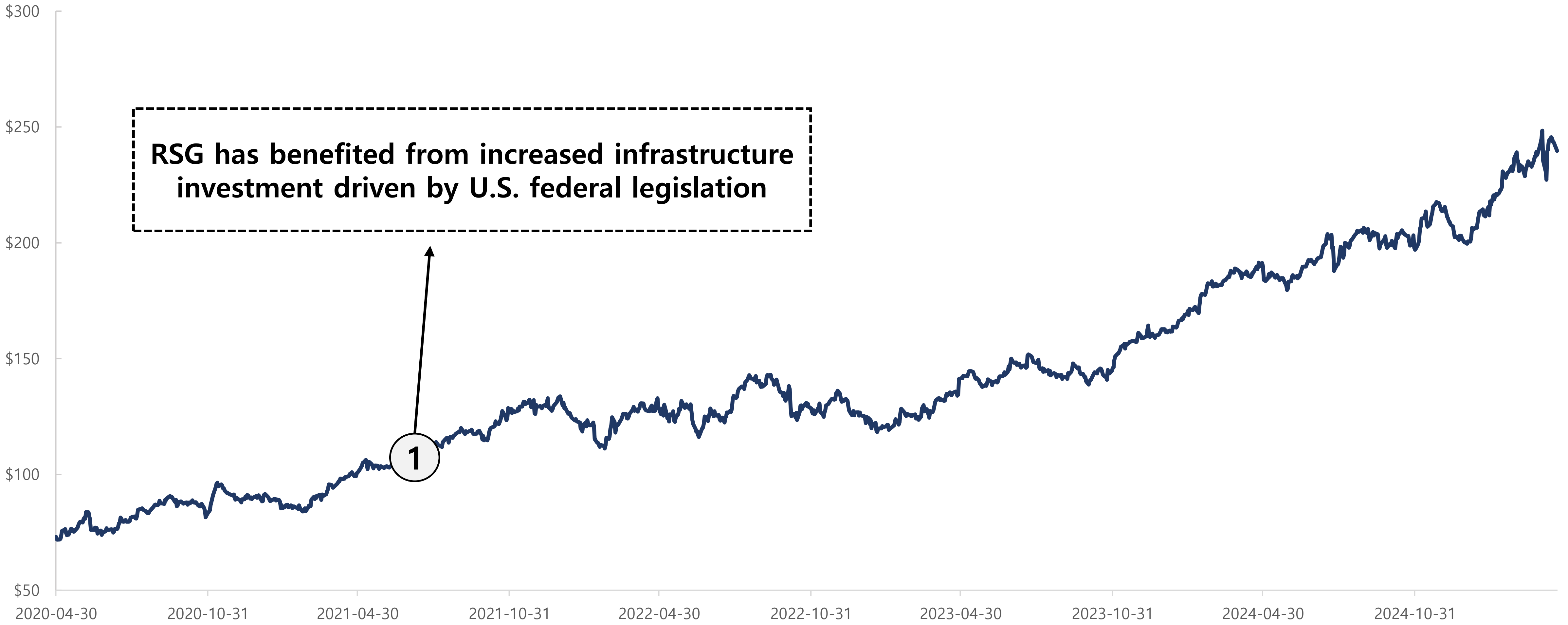
Historical Operating Profit and Margin



Stock Price Performance

RSG's stock performance reflects both the stability and long-term growth of its business

Stock Price Performance(5y)



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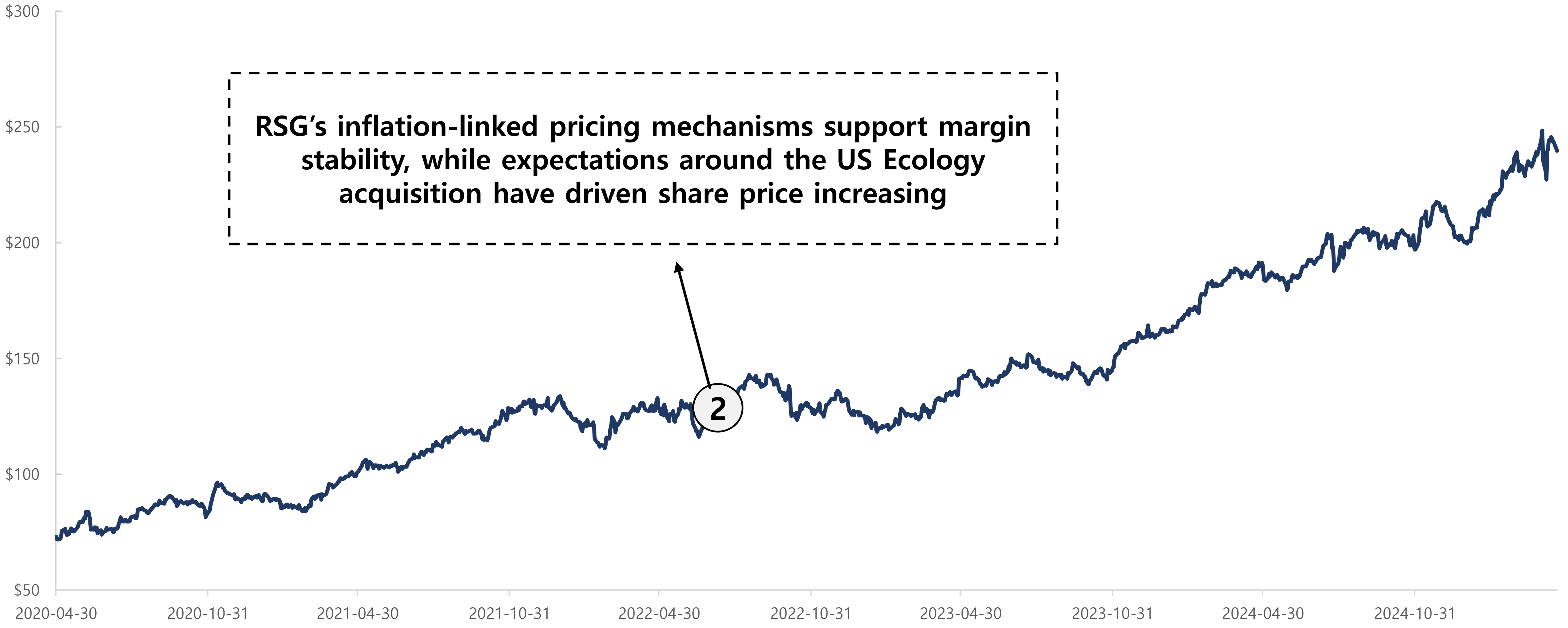

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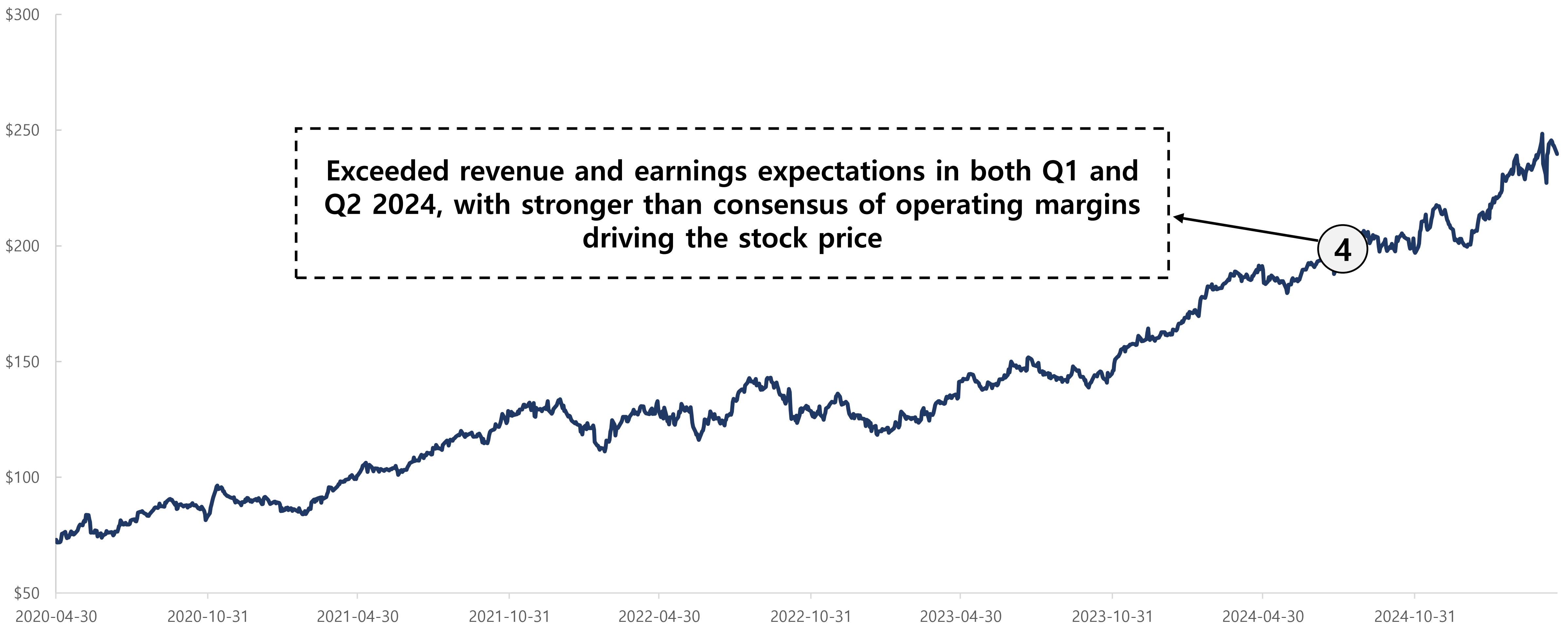


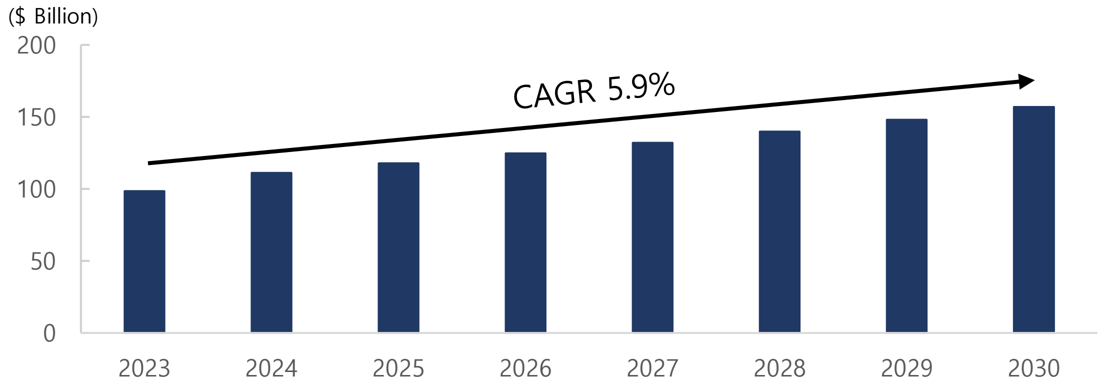
Overview | Investment Thesis | Valuation | Risks

Investment Thesis

Investment Thesis I : A high – growth market with strong barriers to entry

Market growth and technological innovation will further strengthen growth

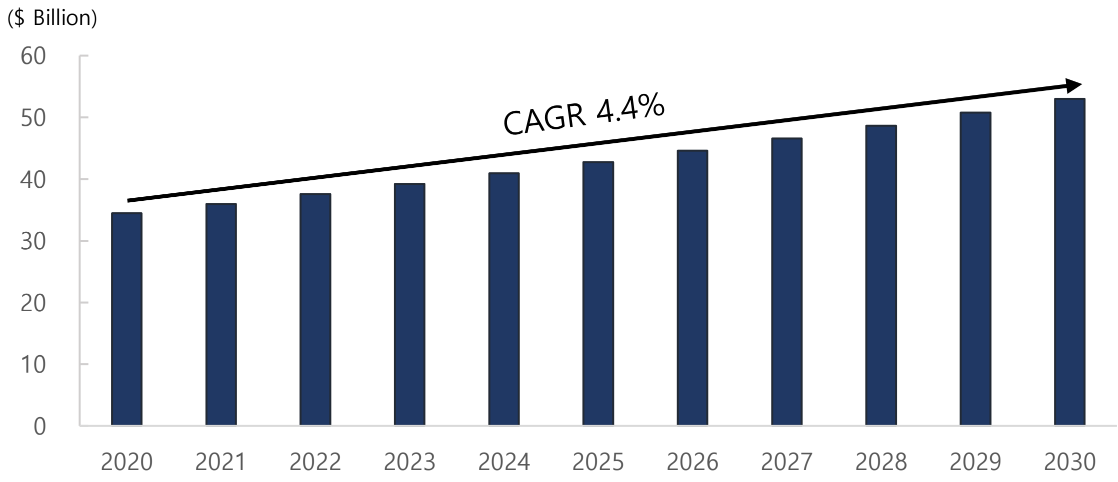
U.S Waste Management Market



Key Drivers of Market Growth

Population growth, technical advancement and rising demand for waste solutions are the key drivers of market growth

U.S Waste to Energy Market



RSG's landfill gas – to – RNG Plant

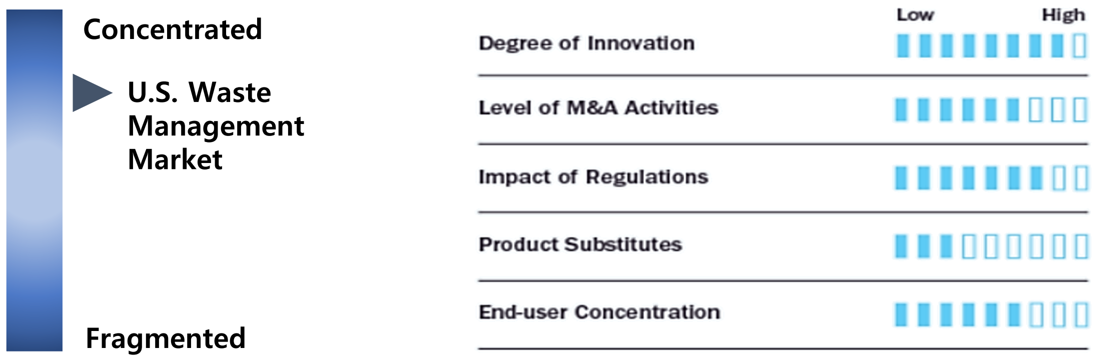
- Recovering methane gas from landfills for energy generation unlocks secondary value from waste – driving market through innovation
- RSG has 70 numbers of landfill – to – RNG plants

Source : Next Move Strategy Consulting, Company filling

Investment Thesis I : A high – growth market with strong barriers to entry

The market structure favors large players, while new entrants often face growth limitation

Market Concentration and Characteristics



WM and RSG hold a dominant share of the market

Ongoing vertical integration through M&A creates high entry barriers, making it difficult for new players to gain market share

As a highly regulated industry, obtaining permits poses a significant challenge for new entrants

Company	Market Shares
Waste Management (WM)	26%
Republic Services (RSG)	19%
Waste Connections (WCN)	7%

Source : Grand View Research , Company filling

M&A Cases

Company	Description	Purpose
WM	Acquiring Stericycle	Entering the medical waste market
RSG	Acquiring US Ecology	Enancement of environment consulting
WCN	Acquiring Pioneer Recycling services	Enhancement of advanced classification techniques

Insight from Consolidation Trend

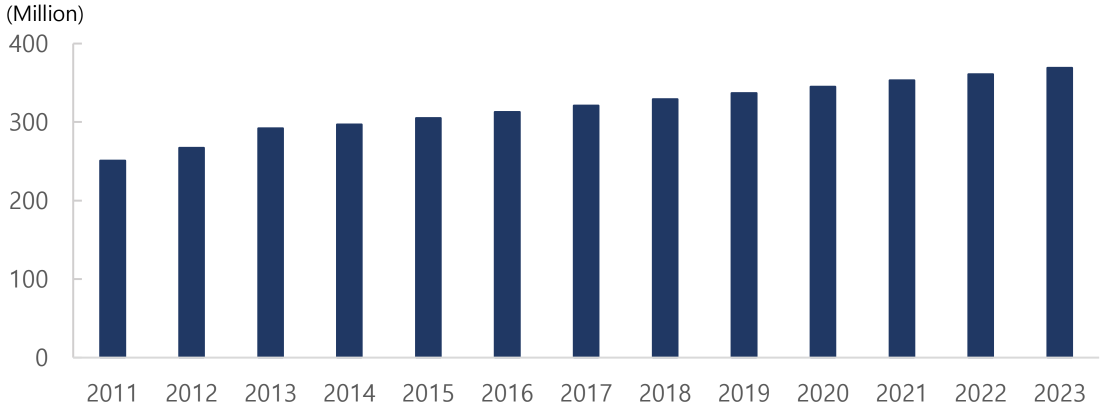
- M&A activity in the waste and recycling sector **has surged as large players acquire smaller businesses** to expand service coverage and improve operational efficiency
- Other market entrants will find it difficult to become large – scale competitors like WM or RSG by purchasing all these facilities

Economies of scale reinforce already high barriers to entry

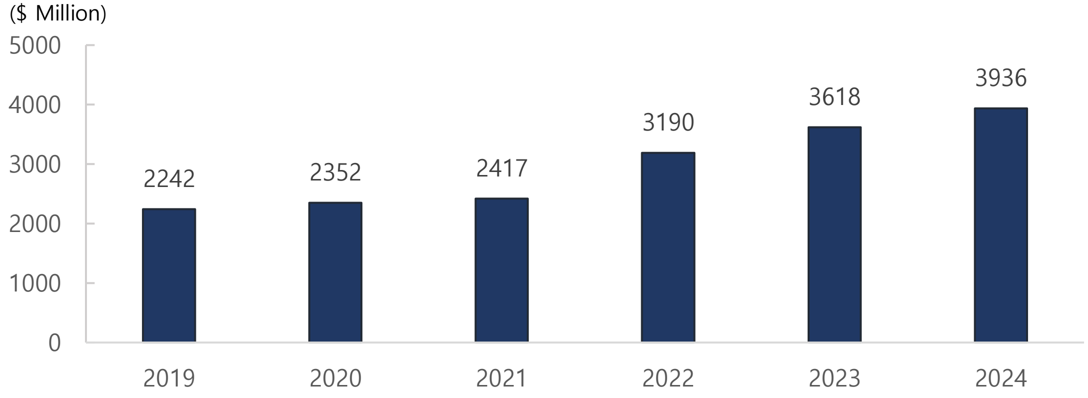
Investment Thesis II : Stable cash flow despite of economic fluctuations

The market size and RSG's cash flow remained resilient throughout the COVID-19 period

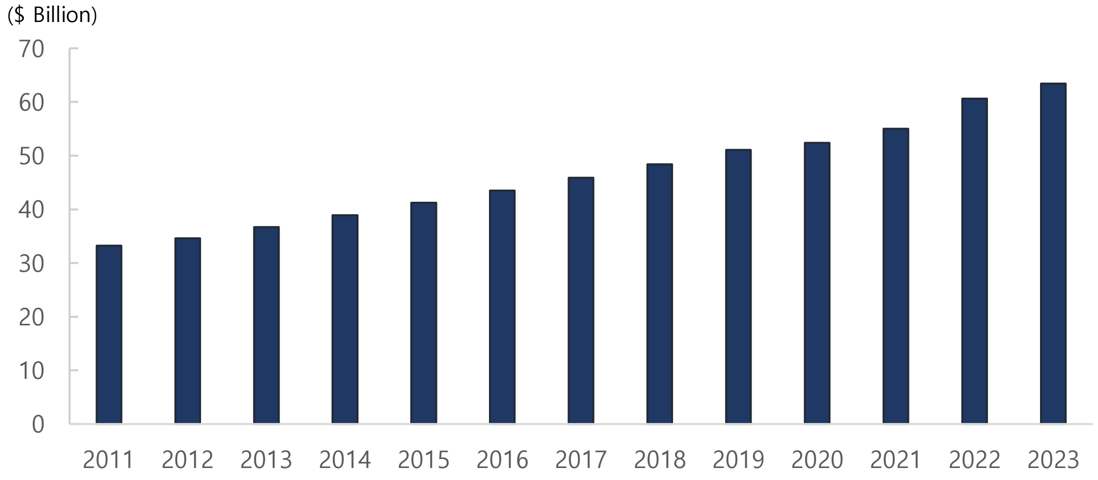
U.S WM and Recycling Market Production



RSG's Operating Cash flow and Operating Profit



U.S WM and Recycling Market Revenue



The Reason behind Its Perceived Stability

- The industry maintains steady demand regardless of the economy, driven by long – term contracts with businesses and public institutions
- Contracts in the waste management industry often ensure profitability through guaranteed profit metrics, and adjust collection rates based on CPI(Consumer Price Index) or RRI(Refuse Rate Index)

Source : Company filling

Investment Thesis III : ESG trend with regulations

RSG proactively aligns with regulatory shifts – turning compliance into a driver of long –term growth

RCRA (Resource Conservation and Recovery Act)

It is a U.S. program that generally manages the disposal of solid and hazardous waste, ultimately aiming to reduce greenhouse gas emissions caused excessive landfilling

Effect

- Since complying with this is quite challenge for companies, they often prefer to outsource waste management to disposal companies rather than learn the process themselves
- RCRA establishes standards for the storage, transportation, and disposal of hazardous and industrial waste, ensuring that only authorized waste management companies are allowed to handle waste at permitted landfills

Regulation creates a more favorable condition for existing market players and are seen as an opportunity for growth

Acquiring US Ecology by RSG

As a RCRA B-permitted hazardous waste handler, the company strengthens its infrastructure and environment solutions to align with ESG regulatory trends

Specific ESG execution

Science – based Target

35%

Reduce absolute Scope 1 and 2 greenhouse gas emissions 35%
Approved by SBTi

Renewable Energy

50%

Increase beneficial reuse of biogas by 50%

Source : Company filling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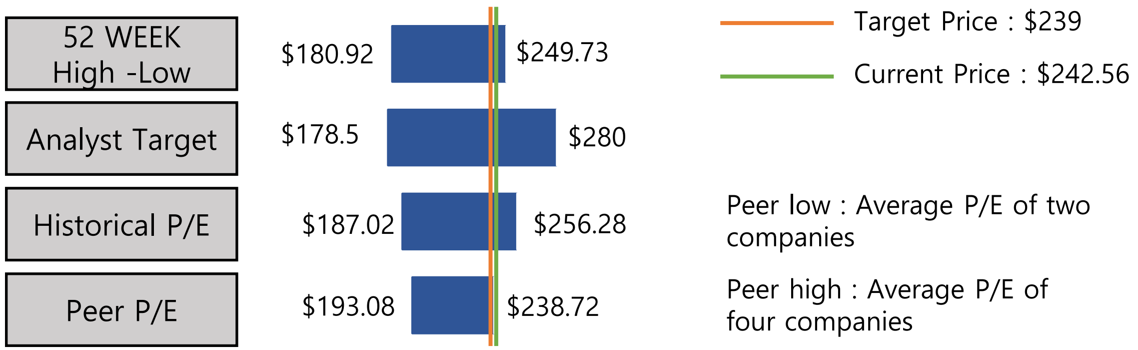
Valuation

Valuation : Overview

Our Target Price is $239 , Implying downside of 1.48%

Valuation Football Chart



Recommendation

A high - growth market with strong barriers to entry

Stable cash flow despite of Economic fluctuations

ESG trend with regulations

Neutral

TP: $239

Projected Income Statement

($ Million)	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Sales	11,295	13,510	14,965	16,032	17,106	17,750
Operating Profit	2,076	2,393	2,780	3,196	3,311	3,333
OPM	17.8%	17.7%	18.7%	20%	19.4%	18.8%
Net Income	1,293	1,488	1,731	2,044	2,174	2,190
NIM	11.6%	11.1%	11.4%	12.5%	12.7%	12.3%

Revenue Projection by Business Unit

($ Million)	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Collection	8,278	9,343	10,253	10,855	11,526	11,830
Transfer	676	724	766	805	864	887
Landfill	1,424	1,550	1,679	1,741	1,844	1,893
Environmental Solutions	223	1,208	1,625	1,843	2,064	2,312
Other	694	685	642	788	807	828

Valuation : Comparable Company Analysis

Selected four peers after excluding outlier form six initial candidates

Company	Country	Market Cap	Overview	Revenue Growth				12MF P/E	Peer Group Selection
				2021	2022	2023	2024		
Republic Services(RSG)	USA	75.9B	RSG is the second-largest provider of recycling and non-hazardous solid waste services in the United States.	11.24%	19.62%	10.76%	7.13%	35.34	
Waste Management(WM)	USA	91.8B	WM is the largest waste management and environmental services company in the United States, providing collection, recycling, and disposal services nationwide.	17.83%	9.85%	3.7%	8.01%	29.5	O
Waste Connections(WCN)	USA	50.8B	WCN is a leading North American provider of waste collection, transfer, recycling, and disposal services, primarily operating in secondary and rural markets.	6.34%	13.59%	17.95%	3.94%	26.25	O
GFL Environmental(GFL)	Canada	18B	GFL is a leading North American provider of waste management and environmental services, headquartered in Canada and offering services across Canada and the United States.	22.41%	31.63%	11.15%	4.61%	65.79	O
Casella Waste Systems(CWST)	USA	7.3B	CWST is a regional solid waste services company in the northeastern United States, providing collection, recycling, transfer, and disposal services.	14.8%	22.03%	16.54%	23.15%	185.19	X
SECURE Waste Infrastructure(SES)	Canada	3B	SES is a Canadian company listed on the Toronto Stock Exchange, providing environmental and energy waste management services primarily to the oil and gas sector.	106.47%	112.48%	3.02%	29.45%	16.32	O
Enviri Corporation(NVRI)	USA	538M	NVRI is a U.S.-based environmental services company specializing in industrial waste management, resource recovery, and environmental solutions across multiple industries.	20.49%	2.2%	25.16%	-0.95%	-	X

Valuation : Logic Behind Revenue Projection

Revenue Projections based on regression, segment linkage and peer growth

Revenue Projection by Business Unit

USD Million		2021A	2022A	2023A	2024A	2025(E)	2026(E)
Revenue							
	Collection	8,278	9,343	10,253	10,855	11,526	11,830
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	Other	694	685	642	788	807	828
Total Revenue		11,295	13,510	14,965	16,032	17,106	17,750

Proportion of Other Business Segment Relative to Collection

% of Collection Revenue	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Collection	1.00	1.00	1.00	1.00	1.00	1.00
Transfer	0.08	0.08	0.07	0.07	0.075	0.075
Landfill	0.17	0.17	0.16	0.16	0.16	0.16
Environmental solutions	0.03	0.13	0.16	0.17	0.18	0.20
Other	0.08	0.07	0.06	0.07	0.07	0.07

Logic Behind Revenue Projection

Collection

- We estimated the total waste volume in operating regions(US and Canada), allocated market share accordingly, and forecasted revenue based on the ASP
- We conducted a multiple regression analysis to estimate the total waste volume, and the resulting regression equation is as follows

Waste Growth Rate=0.0726+2.0013×Manufacturing Growth Rate−0.1500 ×Urbanization Rate+0.1567×U.S. GDP per Capita

Transfer, Landfill, Other

- These business segments are linked to Collection segment.
- Based on the past four years of data, the revenue scale of these segments relative to the Collection segment has remain consistent
- We projected their value by applying the historical ratio to the projected Collection revenue

Environmental Solutions

- These business segments should be measured separately from the Collection segment.
- Following the acquisition of US Ecology, revenue increased significantly, indicating the substantial impact of the acquisition.
- To project future growth, we applied the 5-year CAGR of Clean Harbors' Environmental Services segment, which was previously classified as a competitor prior to the acquisition.

Valuation : Logic Behind Cost Projection

Revenue – based projection for variable costs, rational approach for labor costs

COGS Projection

USD Million	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Labor and related benefits	2,324	2,703	2,994	3,213	3,421	3,550
Transfer and disposal costs	866	993	1,055	1,101	1,232	1,278
Maintenance and repairs	1,049	1,228	1,388	1,468	1,574	1,633
Transportation and subcontract costs	780	1,086	1,171	1,212	1,283	1,331
Fuel	383	631	542	470	616	639
Disposal fees and taxes	337	342	348	351	428	444
Landfill operating costs	259	283	335	367	376	391
Risk management	262	321	385	401	411	426
Other	479	616	725	796	821	852

SG&A Projection

USD Million	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Salaries and related benefits	844	938	1,050	1129	1187	1247
Provision for doubtful accounts	20	41	53	27	48	50
Other	331	475	506	518	513	533

Logic Behind Cost Projection

COGS

- Upon reviewing the ratio of the expense account to revenue over the past four years, we observed that it remained relatively flat
- We applied the four – year average for projections

SG&A

- Labor and related benefits : Labor costs were projected by considering overall headcount trends, the proportion of headquarters and administrative personnel, and adjusting for inflation
- Provision for doubtful accounts / Others : Due to difficulties in estimation, we applied the four-year average value

Changing of Headcount

	2021A	2022A	2023A	2024A	2025(E)	2026(E)
Employee	35,000	40,000	41,000	42,000	43,000	44,000
Administrative staff (estimated 10% of employee)	3,500	4,000	4,100	4,200	4,300	4,400

Risk Analysis

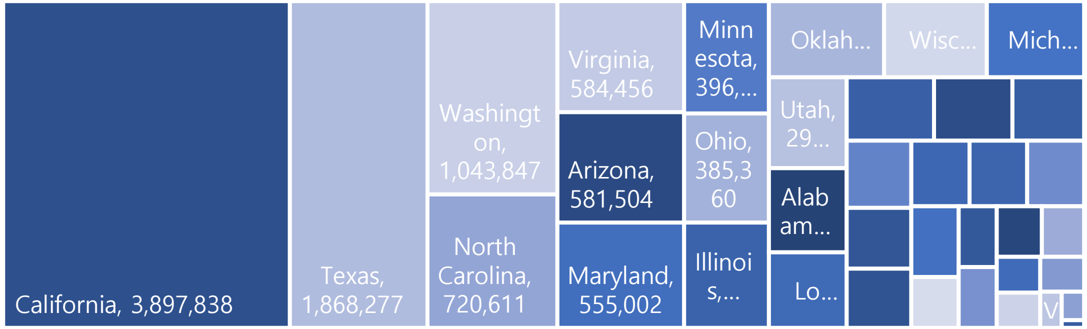
Risk Analysis

RSG operates in a highly competitive waste management market

Competitive with Private Operators

Company	RSG	WM	WCN
Landfill	207	263	103
Collection Truck	17,200	18,347	10,803
Recycling Facility	74	102	81
Renewable Energy Project	68(gas to energy project) + 50(RNG project)	136	

Competitive with Municipalities



Self-operated collection and disposal facilities allow continues and municipalities to enhance tax revenues and leverage tax – exempt financing

Source : Company filling , US Census Bereau

Risk Associated with Competitive Bid – Based Contracts

Case

- **Contract term : Up to 20 years starting July 1,2024 (renewable every 5 years)**
- **Contract Value : $1.2B**
- **Scope : Transportation and disposal of commercial waste from Baltimore to a landfill in Virginia**

WM has challenged the contract award process alleging that Baltimore bypassed adequate competitive bidding in granting an exclusive deal to Republic Services

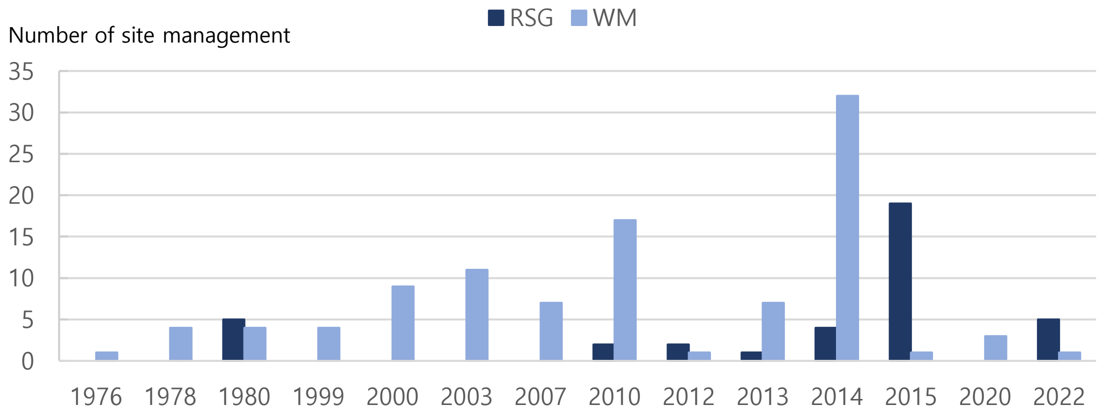
Although advantageous to RSG, the contract's reliance on a public bidding process introduces political and reputational risks that may affect long-term stability

There is speculation that political connections may have influenced the outcome of the bidding process

Risk Analysis

Rising cost risks from permitting , post – closure and operating facility management

Number of Closed landfills and Site Management



	2021	2022	2023
Closed Landfills	124	128	126

As RSG grows, the number of regulated sites and managed facilities is increasing – along with related environment costs

Case of Rising costs Driven by Regulatory Changes

Regulation enforcing air pollution monitoring at waste incinerators

- **Target Facilities : 60 municipal waste incineration plants across the U.S.**
- **Monitored Substances : Approximately 800 hazardous chemicals, including dioxins, FPAS, and nitrogen oxides(Nox)**

Detroit Incinerator Lawsuit Case

- **Operating Period : Began operations in 1989 and was permanently shut down in 2019**
- **Main issue : Hundreds of air pollution violations**
- **Legal action : In January 2019, environmental organization issued a notice of intent to sue Detroit Renewable Power(DRP) for violations of the federal clean air act**

For operators, lawsuit and regulatory actions can lead to increased operating costs

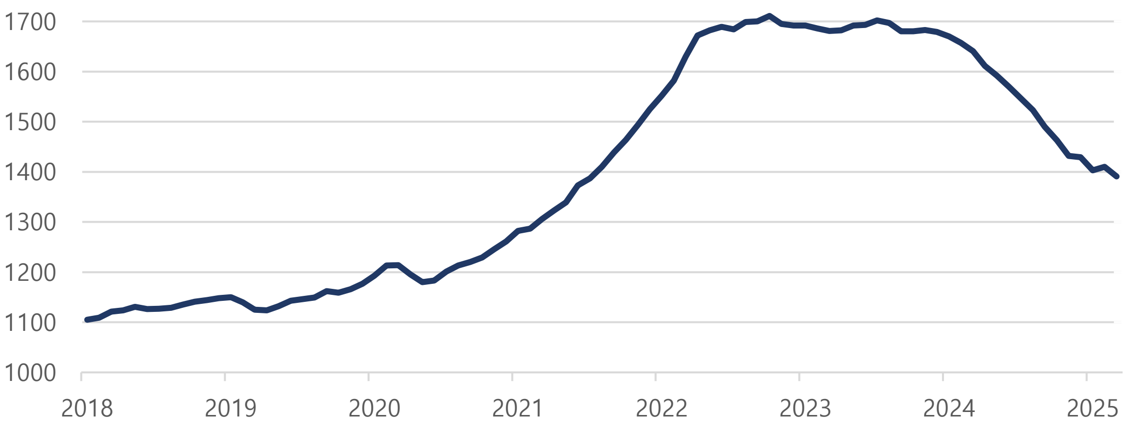
Source : EPA, The Guardian Company filling

Risk Analysis

Revenue Volume at Risk Amid Construction Industry Slump

U.S. 30-Year Mortgage Rate

New Privately-Owned Housing Units Under Construction



Source : Investing.com , FRED

Surging 30-Year Mortgage Rates Since 2022

Continued rise in mortgage rates since 2022

- **Home financing costs have increased, leading to decline in housing affordability**
- **Elevated mortgage rates have continued to suppress housing demand and new construction activities**

Soaring Mortgage Rates Suppress New Home Construction

- **Despite previous growth, new single-family housing starts have stagnated and began declining from 2024.**
- **Elevated borrowing costs have weakened homebuilder sentiment and suppressed new construction activity.**

Q1 2024 Earnings Call - Republic Services
"Continuous construction industry downturn in specific manufacturing sectors has led to a decline in revenue volume."

Appendix Map

Appendix : Management Team

Management Team

Name	Position	Description
Jon Vander Ark	**CEO**	Mr. Vander Ark was appointed Chief Executive Officer in 2021. Since joining Republic in 2013, he has held several senior positions, including Executive Vice President (EVP) and Chief Operating Officer (COO). Prior to joining Republic, he served as a partner at McKinsey & Company, advising clients in industries such as transportation, logistics, manufacturing, and consumer products. He also serves on the Board of Directors of Lennox International Inc.
Brian Bales	**CDO**	Mr. Brian Bales was appointed Chief Development Officer in 2015. He has been with Republic for over 25 years, previously serving as EVP of Business Development and VP of Corporate Development. Before Republic, he held senior finance and development roles at Ryder, was CFO at EDIFEX & VTA Communications, and started his career at PwC. He currently serves on the Board of Directors of RB Global, Inc.
Gregg Brummer	**COO**	Gregg Brummer was appointed Executive Vice President and Chief Operating Officer in August 2023. Before this, he served as Senior Vice President of Operations from June 2019 to August 2023, focusing on field performance, service delivery, and achieving financial and operational results. He joined the Company in January 2014 as Area President until June 2019. Prior to this, Brummer held leadership roles at BlueLinx Corporation and Georgia Pacific Corporation.
Brian DelGhiaccio	**CFO**	Brian DelGhiaccio became Executive Vice President and CFO in June 2020, with over 25 years of experience at Republic. He held roles including Chief Transformation Officer (2019), Vice President of Investor Relations (2012-2014), and Senior Vice President of Finance (2014-2017). Before Republic, he worked at Arthur Andersen and is currently on the Board of Aramark.
Catharine D.Ellingsen	**CLO**	Catharine D. Ellingsen was appointed Executive Vice President, Chief Legal Officer, Chief Ethics & Compliance Officer, and Corporate Secretary in June 2016. She has over 20 years of experience at Republic, having held roles such as Managing Corporate Counsel, Legal Director, and Vice President. She was Senior Vice President of Human Resources from 2011 to 2016. Before joining Republic, she worked as an attorney at Steptoe & Johnson LLP and Bryan Cave LLP.

Source : Company filling

Appendix : Management Team

Management Team

Name	Position	Description
Amanda Hodges	**CCO**	Amanda Hodges was appointed Executive Vice President and Chief Commercial Officer in August 2024, leading the company's sales and customer service teams to drive growth and loyalty. Prior to this, she served as Chief Marketing Officer from November 2020 to August 2024. She spent 15 years at Dell Technologies, most recently as Senior Vice President of North America Marketing and Global Briefing. Before Dell, she worked as a consultant at McKinsey & Company.
Courtney Rodriguez	**CHO**	Courtney Rodriguez became Executive Vice President and Chief Human Resources Officer in 2023, overseeing the company's talent strategy, including acquisition, retention, learning, development, and rewards. Before joining Republic, she was Senior Vice President of Global HR at Dell Technologies, with over 20 years of HR experience in frontline operations, culture transformation, and M&A. She began her career in finance at Arthur Andersen and Dell as a financial analyst.
Julia Arambula	**SVP, Operations, Environmental Solutions**	Julia Arambula became Senior Vice President of Operations, Environmental Solutions in August 2024, responsible for maximizing performance, service delivery, and financial results in Group 3. She joined the company in 2002 and has held various roles, including Senior Vice President of Operations for Group 2 (2021-2024), Senior Vice President of Operations Support (2020-2021), and Vice President of Financial Planning and Analysis (2015-2020). Before Republic, she worked as a senior auditor at Arthur Andersen.
Larson Richardson	**Senior Vice President**	Larson Richardson was appointed Senior Vice President, Operations in December 2023, overseeing Group 1's recycling and waste operations in the western U.S. and Canada. He joined the company in 2012 and has held various roles, including Area President of the Heartland Area (2019-2023), Area Vice President of the Southeast Area (2017-2019), and Senior Manager of Municipal Sales (2015-2017). Prior to Republic, he worked as an Area General Manager at Waste Industries USA.

Source : Company filling

Appendix : Governance

Board of Directors

Name	Director Since	Description
Manny Cadre	**2014**	He is the Chairman of the Board at RSG and the CEO of Collective Auto, a premium automotive retail group. He has held CEO roles in various industries, including beverage distribution, automotive, healthcare, and real estate. He has extensive experience leading companies through mergers and acquisitions and has served on several company boards, overseeing and evaluating legal counsel.
Tomago Collins	**2013**	He has served on the board since 2013 but did not seek re-election. He is currently Executive Vice President of Communications and Business Development at Kroenke Sports & Entertainment, where he has worked since 2003. Before that, he worked as a journalist.
Michael A, Duffy	**2020**	He is a seasoned executive with over 25 years of experience in distribution, supply chain, and retail. He currently serves as CEO of OnTrac, the largest regional e-commerce parcel carrier in the U.S. He has held senior leadership and executive roles at OnTrac, FleetPride, and C&S Wholesale Grocers. He also led global supply chain operations at a healthcare company, managing complex logistics networks. He holds a master's degree in Transportation from MIT, specializing in Operations Research.
Thomas W. Handley	**2016**	Senior advisor at Cascade Asset Management, William H. Gates III's investment firm, and the Gates Foundation Trust, as well as former COO. As the former President and COO of Ecolab, he advises the board and management on safe and cost-effective growth strategies. He gained 20 years of experience in strategy, operations, and marketing at Procter & Gamble. Additionally, with his expertise in information technology and cybersecurity, he supports the strengthening of Republic's digital capabilities
Jennifer M. Kirk	**2016**	She is set to become the CEO of Exubrion Therapeutics in May 2025. Previously, she served as Senior Vice President and Chief Accounting Officer at Medtronic plc for five years. With over 25 years of experience in finance and accounting, she also worked for over 20 years at Occidental Petroleum, focusing on integration, value capture, and strategies in technology and cybersecurity.

Source : Company filling

Appendix : Governance

Board of Directors

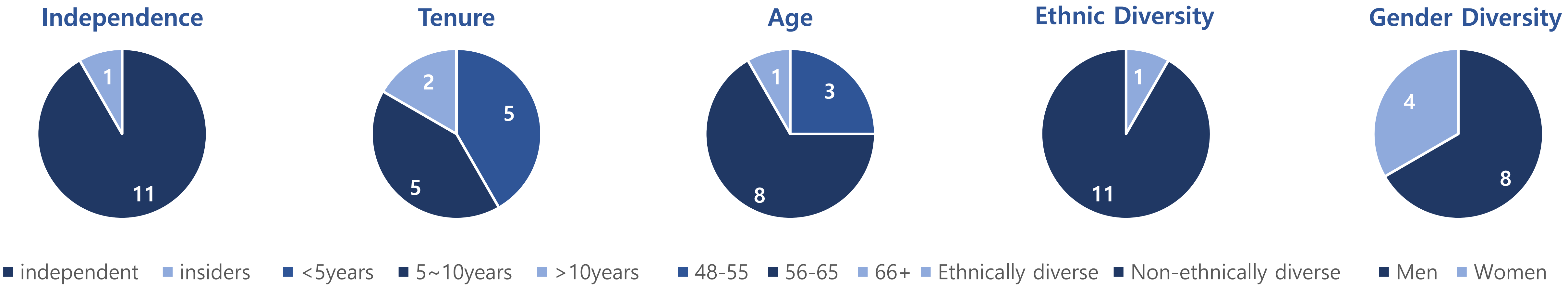
Name	Director Since	Description
Michael Larson	**2009**	Mr. Larson is the Chief Investment Officer at Cascade Asset Management, the investment office of William H. Gates III, and the Gates Foundation Trust. He has built a successful career as an investor over the past 40 years.
N. Thomas Linebarger	**2024**	He is the CEO of the Energy Transformation sector at General Catalyst. Previously, he served as the CEO of Cummins Inc., a manufacturer of engines, generators, and electrical power solutions. With 30 years of experience in leading manufacturing companies, he has developed expertise in logistics, manufacturing, and operations, driving innovation and efficiency. He also has a deep understanding of sustainable technologies in regulated industries, which will be crucial for Republic's board as it strives to lead in environmental services.
Meg Reynolds	**2023**	She is the co-founder, president, and portfolio manager of Westwood Global Investments, an international and emerging markets investment management firm managing $13 billion in assets. With over 35 years of extensive investment experience, she provides valuable investment insights, crucial for Republic's consistent revenue and free cash flow growth. Her nonprofit board experience and passion for serving clients and communities contribute to her ability to engage with diverse stakeholders and understand competing priorities.
James P.Snee	**2018**	He is the CEO of Hormel Foods Corp., a global manufacturer and marketer of consumer branded foods, listed in the Fortune 500. While overseeing global portfolio expansion, he gained experience in marketing, logistics, and efficient operations of large organizations. He also led the modernization of technology and e-commerce capabilities.
Brian S. Tyler	**2021**	He is the CEO of McKesson Corporation, a $280 billion publicly traded healthcare distribution and services company. With over 25 years of experience, he has led operations, logistics, and the integration of acquired assets, focusing on improving patient care and customer value.

Source : Company filling

Appendix : Governance

Board of Directors

Name	Director Since	Description
Jon Vander Ark	**2021**	Mr. Vander Ark is the only internal director serving as the CEO of Republic Services.
Sandra M. Vlope	**2016**	She is the former Senior Vice President of Strategy, Communications, and Business Development Solutions at FedEx Ground. With a unique perspective on operations and logistics, including vehicle route planning and facility management, she has over 30 years of experience in finance and strategic planning at large global companies.
Katharine B. Weymouth	**2018**	She is a Venture Partner at Blu Venture Investors, a venture fund focused on cybersecurity, health tech, and B2B SaaS startups. Previously, she was the Chief Operating Officer at FamilyCare in the mental health sector. While at The Washington Post, she led a project to modernize the newspaper's digital platform to improve customer experience. With her experience as Deputy General Counsel at the Department of Justice, she also brings strong legal and regulatory understanding.



Source : Company filling

Appendix : M&A list

List of RSG's Mergers and Acquisitions

Date	Description	Date	Description
2008.06.23	Merging Allied Waste for 6.6B	**2021.10**	Acquiring Digging Environmental
2014.10.01	Acquiring Rainbow Disposal	**2021.spring**	Acquiring Dependable Disposal & Recycling
2014.12.19	Acquiring Tervita's U.S. Business	**2021. fall**	Acquiring B&P Services
2015.02.17	Acquiring Tervita	**2021.09.01**	Acquiring ACV Enviro
2017.08.24	Acquiring ReCommunity Holdings II, Inc.	**2022.05.02**	Acquiring US Ecology for 2.2B
2020.02.07	Acquiring Devens Recycling	**2022.05.16**	Acquiring JRM Hauling & Recycling
2021.01.01	Acquiring Gallegos Sanitation	**2022.05.31**	Merging JB's Disposal
2021.spring	Merging Eagle Waste & Recycling	**2022.07.31**	Acquiring Sanders Waste Systems
2021.10.01	Acquiring Gold Medal Environmental commercial routes	**2022.09.01**	Acquiring Rock Mountain Sanitation

Source : Company filling

Appendix : M&A list

List of RSG's Mergers and Acquisitions

Date	Description	Date	Description
2022.09.01	Acquiring Monument Waste Systems	**2023.12.01**	Acquiring Wallac Bros. Disposal & Recycling
2022.11.01	Acquiring C6 Disposal Systems	**2023.12.20**	Acquiring Central Texas Refus/130 Environmental Park
2022.12.15	Acquiring Moring Disposal	**2023.12**	Acquiring Commercial Disposal
2023.03.27	Acquiring North State Bioenergy	**2024.02**	Acquiring WM routes
2023.05.01	Acquiring Deep South Containers	**2024.09.03**	Acquiring Waste Services of the Bluegrass Assets
2023.06.05	Acquiring GFL Environment's Colorado and New Mexico segments	**2024.11**	Acquiring Ace Waste Services
2023.09.15	Acquiring Benfield Sanitation Services	**2025.02**	Acquiring Recycle Source
2023.11.16	Acquiring Western Recycling assets	**2025.02.25**	Acquiring Shamrock Environmental
2023.11	Acquiring ACTenviro		

Source : Company filling

Appendix : M&A Case (US Ecology)

About US Ecology

$968M
LTM Revenue

80%+
Revenue with Consistent Demand Profile

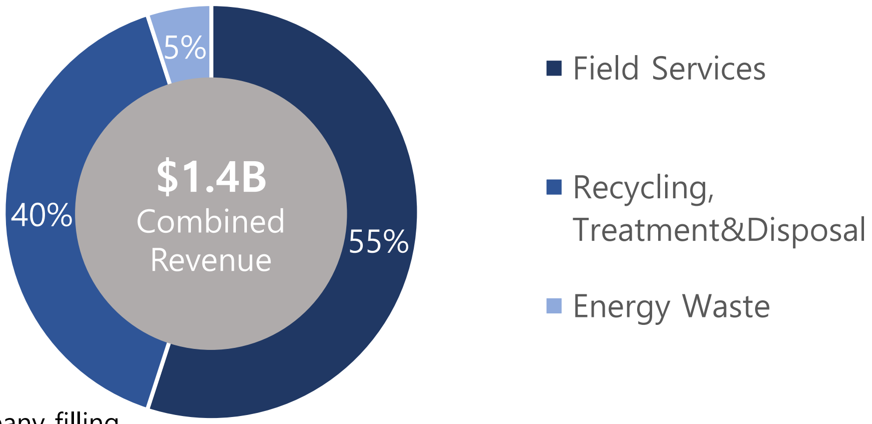
$156M
LTM EBITDA

12,000+
Customers

3600+
Employees

#1
Hazardous Waste Landfill Operator by Volume

Combined company environmental solutions revenue



Source : Company filling

About acquiring US Ecology

- Acquisition Date: May 2, 2022
- Purchase Price: $48 per share in cash
- Total Transaction Value: $2.2 billion, including $0.7 billion of net debt
- US Ecology contributed approximately 6% of revenue for the year ended December 31, 2022.
- The adjusted EBITDA for Group 3 (which represents our Environmental Solutions segment) increased from $211.1 million for the year ended December 31, 2022, to $348.4 million for the year ended December 31, 2023, primarily driven by the acquisition of US Ecology.
- US Ecology Infrastructure:
  - 9 specialty waste landfills (including 5 hazardous waste landfills)
  - 16 RCRA-permitted TSDFs
  - 7 wastewater treatment facilities
  - over 80 environmental services field locations, including treatment and recycling centers

Appendix : Competitive Bidding Contract Cases

Baltimore County, Maryland

- Contract term: Up to 20 years starting July 1, 2024 (renewable every 5 years)
- Contract Value: $1.2B
- Scope: Transportation and disposal of commercial waste from Baltimore to a landfill in Virginia
- WM has challenged the contract award process alleging that Baltimore bypassed adequate competitive bidding in granting an exclusive deal to Republic Services. Although advantageous to RSG, the contract's reliance on a public bidding process introduces political and reputational risks that may affect long-term stability There is speculation that political connections may have influenced the outcome of the bidding process

Renton, Washington

- Contract term: For a period of 10 years, starting in mid-2016
- Contract Value: Depending on the amount of household waste, the monthly fee ranges from $18 to $78
- Scope: Bi-weekly collection of garbage and recyclables, weekly collection of compost and yard waste, and driver protection
- Although WM, which had maintained the contract for the past 26 years, offered a price of $20,000 lower per month than RSG, the difference was minimal, and the contract was terminated due to an increase in complaints about customer service. As a result, considering the high ratings RSG received in the reference checks conducted with seven neighboring cities, the contract was ultimately awarded to RSG.

Source : Press

Appendix : Competitive Bidding Contract Cases

Fishers, Indiana

- Contract term: For a period of 10 years starting January 1, 2025
- Contract Value: $16.39 per household monthly, increasing slightly each year up to $26.89
- Scope: Bi-weekly curbside recycling, weekly trash collection, leaf pickup in April and November up to 20 bags, and heavy trash pickup by appointment
- RSG was chosen for the contract due to its lower price compared to WM, its provision of Snowbird Service, and its 60% share of the residential market in Fisher City.

Clark County, Nevada

- Contract term: For a period of 15 years, starting in mid-2023
- Contract Value: Several hundred million dollars per year
- Scope: Collection of municipal solid waste, recycling processing, and disposal of bulky and industrial waste
- The proposals were evaluated based on the ability to meet the county's requirements and provide the best value, as well as the potential for future growth considering sustainability initiatives, and as a result, Republic Services received the highest score.

Thurston County, Washington

- Contract term: For a period of 10 years starting May 1, 2023
- Contract Value: $18M per year
- Scope: Contract for new operations, maintenance, transportation, and waste disposal services
- RSG proposes cost savings through a long-term contract and offers lower rates compared to WM. Additionally, RSG already owns CNG collection vehicles and carbon-reducing landfills in Clark County, while emphasizing digital-based innovations such as automated recycling sorting and customized collection schedules. Since RSG operates multiple facilities in the Nevada region, there is less burden for new investments.
- Failing to execute a large contract could lead to reputational damage and potential fines. There is also the possibility that WM may file a legal lawsuit regarding the withdrawal of exclusivity. Additionally, aggressive pricing could result in margin deterioration, and there is a potential increase in initial investment for the service transition, including vehicles, personnel, and equipment relocation.

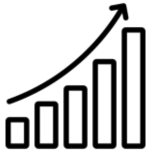
Source : Press

Appendix : Strengths Over Competitors

Customer Zeal

Customer centric culture with short- and long-term initiatives to win with customers and drive loyalty

- Seamless sales and service resolution
- Complete set of product and service offerings
- Setting and exceeding customer expectations
- Empowering employees to deliver with zeal
- Expect to drive significant value by increasing customer retention and attracting new business



Customer satisfaction measured by NPS

94%

Customer retention rate

Embedded in GM compensation plans

Sustainability

Driving profitable growth by providing customers with environmentally responsible solutions

- **120M** Tons of material handled annually
- **15%** Reduction in Scope and 2 greenhouse gas emissions since 2017
- **75** Recycling Centers
- **78** Landfill gas & renewable energy projects
- **60K+** Tons of plastic circularity per Polymer Center

2030 Climate Leadership Goals

35% **Reduce absolute Scope 1 and 2 greenhouse gas emissions 35%**

40% **Increase recovery of key materials by 40% on a combined basis**

50% **Increases biogas sent to beneficial reuse by 50%**

Source : Company Filling

Appendix : Strengths Over Competitors

Digital

2014
Capture Pricing Tool

2015
App & Online Account
Utilized by 3M customers

2016
Centralized Customer Service

2016
E-Commerce
Empowering customers with seamless digital service channels

2018
Connect Driver Communication Platform

2020
RISE Dispatch Platform
Over 13.7K efficiently Managed routes

2021-2023
RISE Tablets
30M+ automated customer notifications sent

2022
Financial Reporting Connected with Procurement

2024+

System Modernization

Customer & Order Management
- Accounts Receivable
- Invoicing

MPower Asset Management
- Increased maintenance productivity
- Enhanced warranty recovery

RSG continues to implement digital tools to enhance service delivery for its customers and drive operational efficiencies. To date, RSG's digital tools have generated more than $130 million in annualized cost savings and incremental revenue.

Source : Company Filling

Appendix : Strengths Compared to WM

High-Growth Strategy Based on the Circular Economy

Food-Grade Recycled Plastic - RSG

- RSG forecasts the North American environmental services market to be approximately $165 billion
- Focused on high-growth areas such as circular plastics
- Through its Polymer Center and Blue Polymers joint venture, RSG produces food-grade recycled plastic, a strategy that goes beyond simple recycling to create high added value
- In 2023, the recycling segment's revenue grew by 31% compared to the previous year, increasing from $312 million to $409 million

Turning Bottles Into Apparel - WM

- Over the past decade, WM has partnered with REPREVE® to recover more than 20 billion plastic bottles and transform them into textiles.

Plastic-to-plastic represents a complete circular economy, whereas plastic-to-fiber cannot be considered a fully circular economy

	Plastic to Plastic	Plastic to Fiber
Complete cycle	○	△
Circular structure	Closed loop	Open loop
	Recyclable back into plastic	Not recyclable back into plastic
Advantage	Energy & carbon reduction	Diverse Applications
Disadvantage	Quality degradation with repeated recycling	Downcycling, Microplastics
Example	Plastic -> New bottles, Packaging materials	Plastic -> Clothing, Bags

Appendix : Strengths Compared to WM

Regional Autonomy and Internalization Strategy

Republic Services - market-specific
RSG has established a market-specific vertically integrated operating system, processing waste through its own infrastructure, which includes 207 landfills and 248 transfer stations. Approximately 67% of the total collected waste is directly handled at its own landfills, implementing an "internalization strategy." This is the core of RSG's vertically integrated operating platform, combining local autonomy with the headquarters' standardized systems..

Waste Management - nationwide integrated operations
The WMSBS(Waste Management Strategic Business Solutions) business segment focuses more on an integrated operating model nationwide, with an emphasis on central planning and optimization. It works with customers across multiple locations throughout the U.S. and Canada to provide streamlined services, enhanced reporting, achievement of sustainability goals, and centralized billing and account management.

RSG combines local autonomy with the headquarters' standardized system to respond quickly and flexibly to market changes and customer demands, securing a competitive edge in securing collection contracts through service quality and responsiveness..

Stable Profitability

Revenue: $14.97B (2023) → $16.03B (2024) (+7.1%)

Adjusted EBITDA: $4.45B (2023) → $4.98B (2024) (+11.9%)

2024 Adjusted EBITDA Margin

REPUBLIC SERVICES	WASTE MANAGEMENT
31.1%	29.7%

Appendix : RNG as Additional Revenue Stream

Regional Autonomy and Internalization Strategy

Biogas can be utilized as energy in three ways

- Electricity
- Renewable natural gas (RNG) for use as a low-carbon fuel
- Thermal energy for heating or to power industrial boilers

These applications align with RSG goal of beneficially reusing 50% more biogas by 2030.

Launches joint venture with bp's Archaea Energy to develop portfolio of landfill RNG projects.
Republic maintains a minority ownership interest in the joint venture.
The first Lightning Renewables RNG project went online at the National Serv-All Landfill in Fort Wayne, Indiana.
At RSG landfills, five RNG plants were developed to produce clean energy to support climate action in local communities.
RSG now are involved with 68 landfill gas-to-energy projects, with 50-plus more RNG projects in the pipeline.

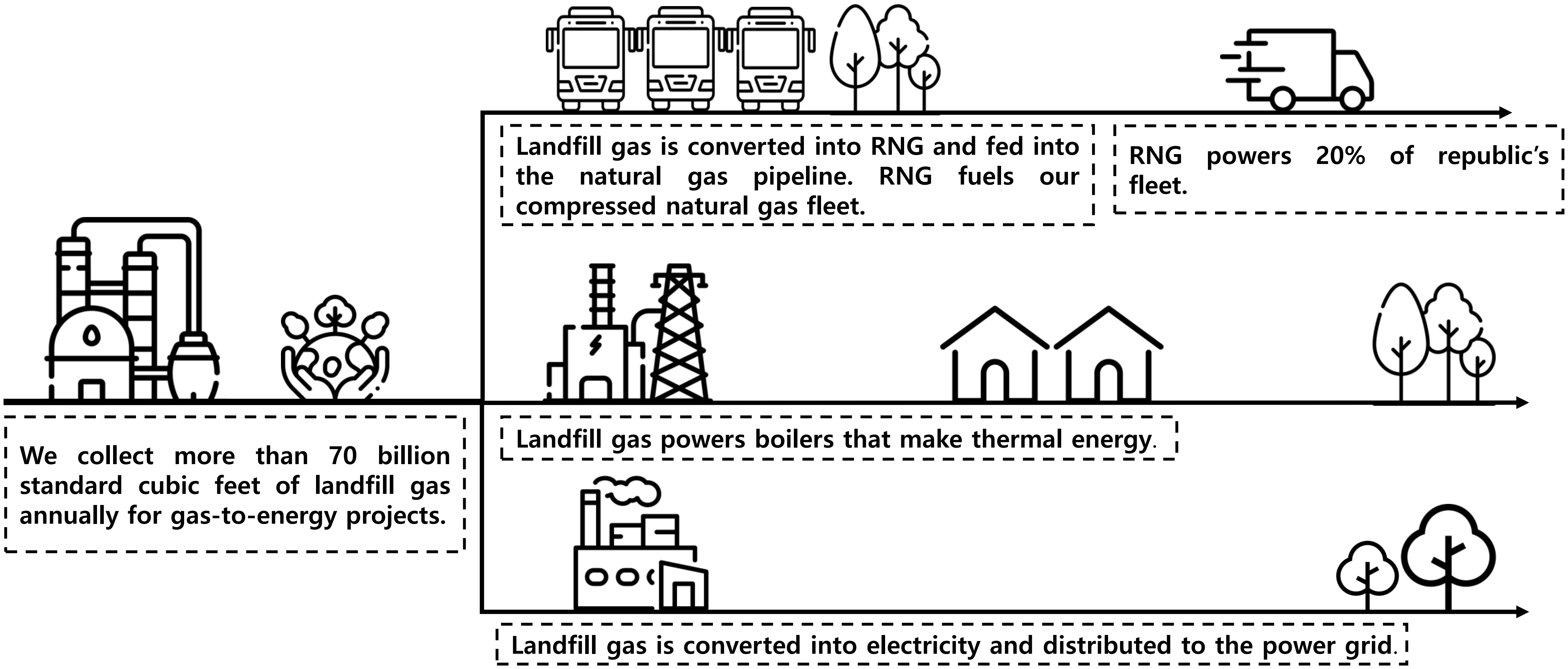
We completed one project in the first quarter of this year and two more in April.
Seven RNG projects are expected to be completed in 2025.

Sustainability

As a transportation fuel, it can reduce emissions in local communities by as much as 95% over gasoline or diese2023, natural gas-powered trucks make up 20% of Republic Services' fleet, all of which are powered by RNG.

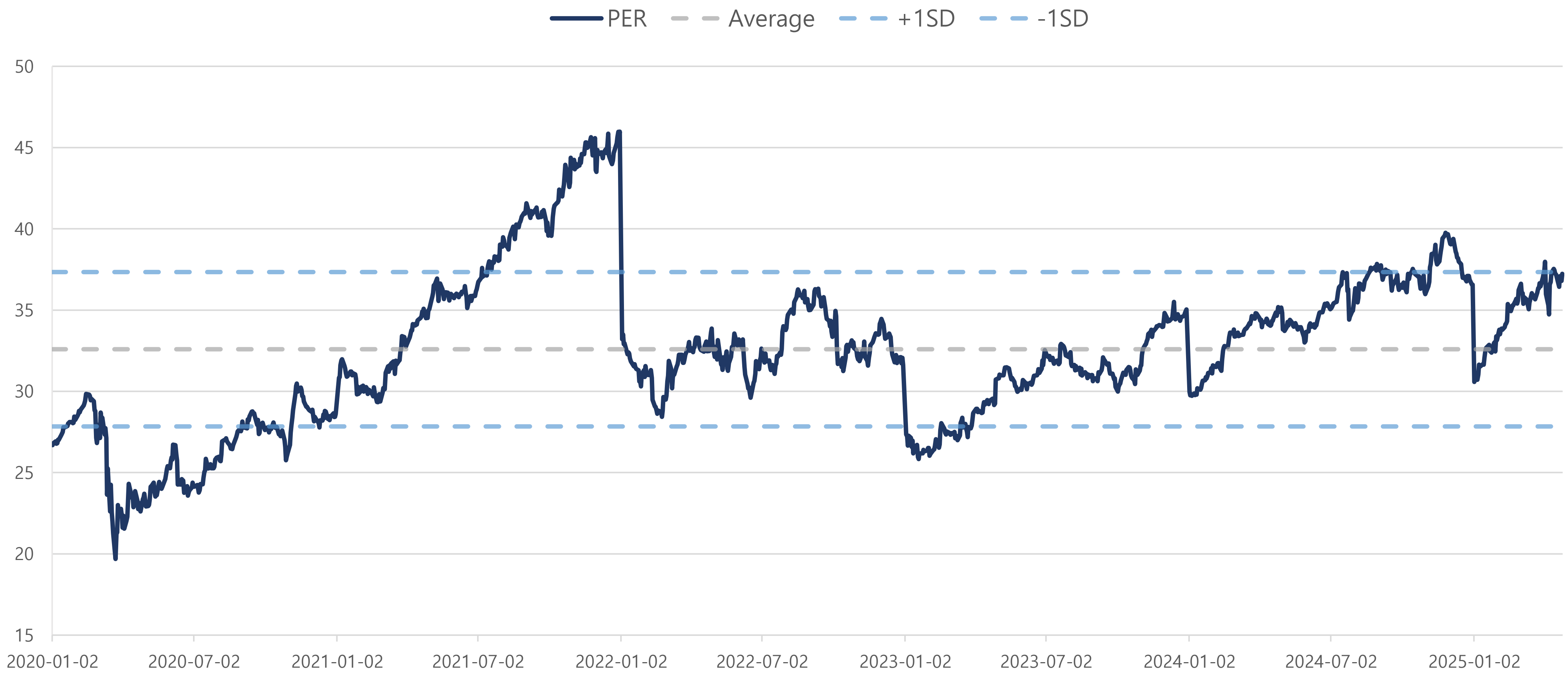
Appendix : RNG as Additional Revenue Stream

Landfill Gas to Energy



Appendix : Historical PER (2020-2025)

RSG's Historical PER (2020-2025)



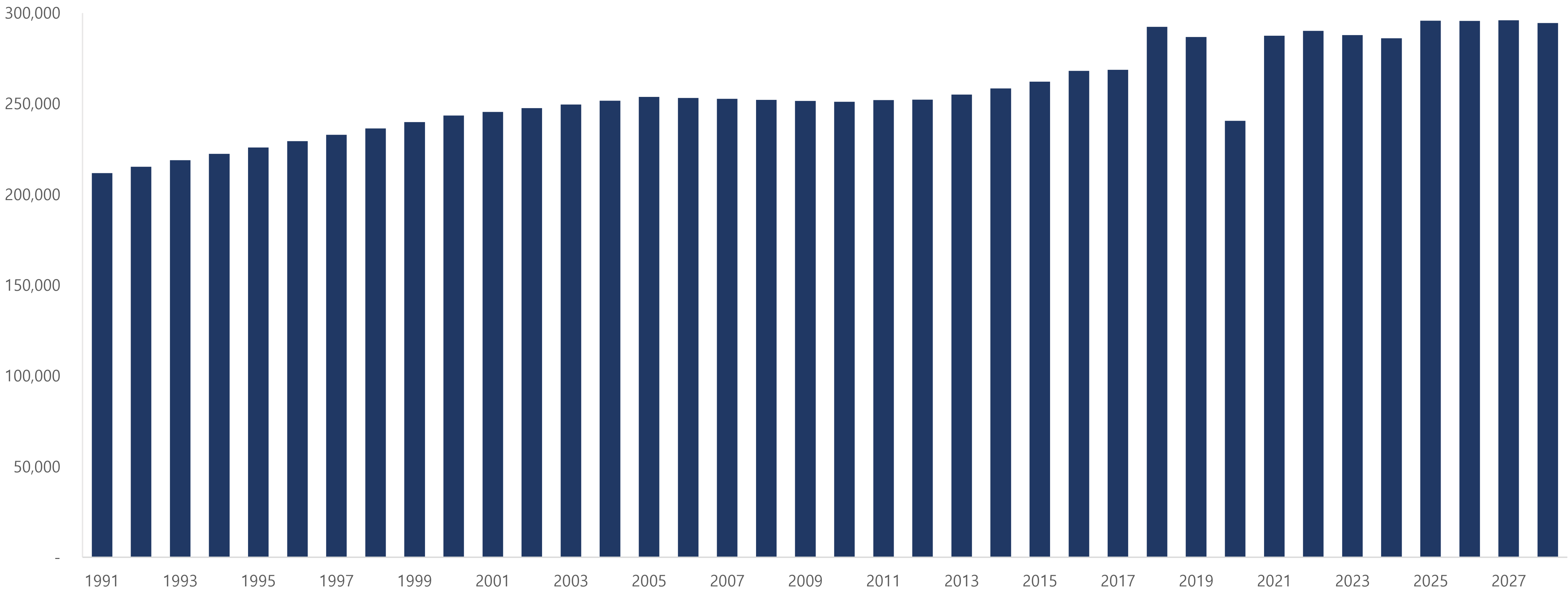
Appendix : Key Financial Ratio

RSG's Key Financial Ratio (FY2021-2024)

Ratio classification(%)	FY2021	FY2022	FY2023	FY2024
Current Ratio	70.8	69.5	56.3	58.3
Debt Ratio (Debt to Equity Ratio)	177.9	199.9	197.9	192.8
Return on Total Assets (ROA)	5.2	5.5	5.6	6.4
Return on Equity (ROE)	14.4	15.4	16.8	18.3
Operating Profit Margin	18.7	18.4	19.0	19.9
EBIT to Sales Ratio	18.7	18.4	21.2	23.8
Sales Growth Rate	11.2	19.6	10.8	7.1

Valuation : Historical and Projected Waste Volume

RSG's Total Waste Volume (1991-2028)

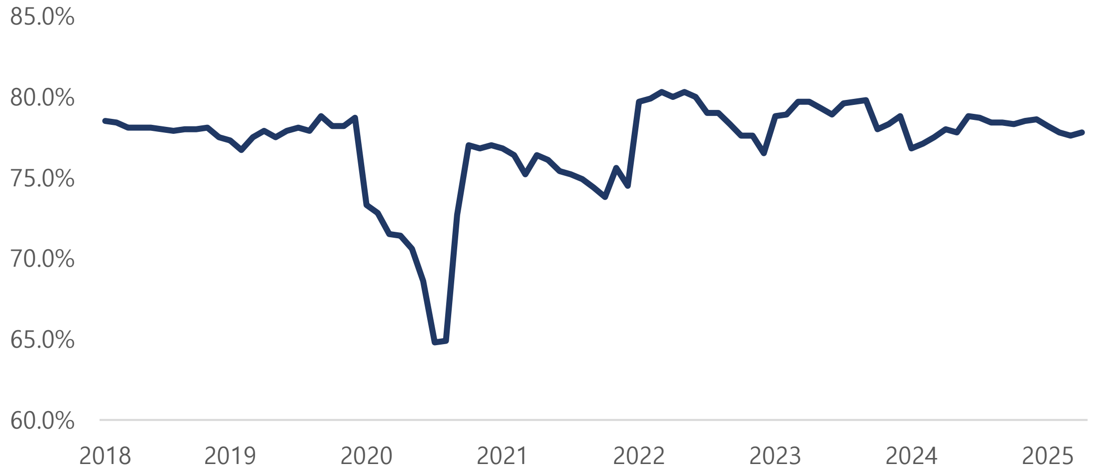


Unit : Tons

Appendix : U.S Manufacturing PMI & Capacity Utilization Rate

U.S Manufacturing PMI

U.S Capacity Utilization Rate



Source : Investing.com

Manufacturing Slowdown

The decline in U.S. Manufacturing PMI signals a contraction in industrial production

- **Reducing the volume of industrial waste generated**
- **Lower waste volumes may negatively impact the revenue and operational scale of waste management companies.**

Declining Capacity Utilization

- **Increased Fixed-Cost Burden Due to Decline in Manufacturing Capacity Utilization**
- **Low Utilization Rates → Risk to Overall Industry Profitability and Cash Flow Stability**